

CRYPTO HEDGE FUND LAUNCH PLAN (2026)

Jurisdiction Analysis, Strategy Framework & Operational Blueprint

1. Executive Summary

- Multi-strategy cryptocurrency hedge fund with quantitative core.
- 5–10% gold/precious metals allocation for macro hedging.
- Evaluation of UAE, UK, Cayman Islands, Switzerland, and Singapore.
- Institutional-grade compliance, custody, and risk management required.

2. UAE (Dubai – VARA)

Licensing under Virtual Asset Management and Investment Services via VARA. Two-stage process: Approval to Incorporate (ATI) followed by full VASP License. Timeline: 4–7 months. Capital: AED 100,000 (advisory) to AED 250,000+ (management). Requirements: Physical office, UAE-resident responsible individuals, AML/CTF framework, audited financials. Tax: 0% personal income tax; potential 0% corporate tax for qualifying activities. Strength: Fastest operational launch with crypto-native regulatory framework.

3. United Kingdom (FCA)

FSMA Cryptoasset regime gateway opens September 30, 2026; full regime October 25, 2027. Full authorization requires Part 4A permissions, SM&CR; compliance, Consumer Duty, prudential standards. Interim operations rely on MLR registration. Strength: Institutional credibility and regulatory maturity. Limitation: Delayed full crypto integration until 2027.

4. Cayman Islands

Regulated by CIMA. True 0% income, capital gains, and corporate tax. Timeline: 4–10 months. Global hedge fund domicile leader; widely used for crypto funds. Common structure: Cayman-domiciled fund with UAE or Singapore operations.

5. Switzerland

Regulated by FINMA. Strong institutional credibility and Crypto Valley ecosystem. Favorable capital gains treatment in many cantons. Higher compliance cost but strong long-term prestige.

6. Singapore

Regulated by MAS. Excellent banking access and Asia-Pacific investor reach. 0% capital gains tax for individuals with structured corporate options. Strong regulatory clarity and institutional trust.

7. Strategy Framework

- Multi-strategy quantitative model (arbitrage, momentum, basis trades, yield).
- Market-neutral overlays with volatility targeting.
- Gold futures allocation (5–10%) for tail-risk hedge.
- Target Sharpe > 1.2; Max Drawdown < 25%.

8. Backtesting Framework

- Precise rule definition and risk constraints.
- High-quality OHLCV/tick-level data.
- Simulation with slippage, fees, and funding costs.
- Walk-forward and Monte Carlo validation.
- Paper trading before live capital deployment.

9. Final Recommendation

Most competitive 2026 structure: Cayman-domiciled fund combined with UAE-based operations. Singapore optional for Asia investor expansion. UK suited for long-term 2027+ regulatory

integration strategy.

10. Risk Disclosure

Cryptocurrency and hedge fund strategies involve significant volatility, liquidity risk, regulatory change risk, and potential capital loss. Past performance is not indicative of future results. Professional legal, tax, and compliance advice is essential before proceeding.